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Shyam Narayan Prasad v. Krishna Prasad And Others

Supreme Court Of India (Jul 2, 2018)

CASE NO.

Civil Appeal No. 5415 of 2011, decided on July 2, 2018

DISPOSITION

DISMISSED

JUDGES

- Abhay Manohar Sapre
- S. Abdul Nazeer, JJ.

ATTORNEY

- K.V. Mohan, A.K. Yadav and Kedar Nath Tripathy, Advocates, ;
- Tanmaya Agarwal, Vineet Kumar and Chander Shekhar Ashri, Advocates,

SUMMARY**Factual and Procedural Background**

Gopalji Prasad and his five sons—including the present appellant, Shyam Narayan Prasad (Defendant 1), and his brother Laxmi Prasad (Defendant 2)—partitioned their joint family *property* on 31-7-1987. Pursuant to that partition, Laxmi Prasad received, inter alia, one-half of a two-storeyed RCC building in Singtam Bazar (where a liquor shop operates) and Shyam Narayan Prasad received, inter alia, a shoe shop at Manihari. On 30-1-1990, Defendants 1 and 2 executed an unregistered document (Ext. P-2) purporting to “exchange” these interests.

Respondents 1-4 (sons and grandson of Defendant 2) filed Civil Suit No. 10 of 2001 seeking a declaration that Ext. P-2 is invalid. The trial court decreed the suit, holding the *property* ancestral and the exchange void. Defendant 1’s first appeal was allowed by the District Judge, who dismissed the suit. In second appeal, the High Court of Sikkim restored the trial court’s decree. Defendant 1 now challenges that High Court judgment

before the Supreme Court.

Legal Issues Presented

1. Whether the *property* allotted to Defendant 2 in the 31-7-1987 partition retained its character as coparcenary (ancestral) *property* vis-à-vis his sons and grandson.
2. Whether the unregistered deed of exchange dated 30-1-1990 (Ext. P-2) is admissible in evidence and effective to transfer rights in the immovable *property*.
3. Whether Defendant 1 can invoke the protection of Section 53- A of the Transfer of *Property* Act, 1882, despite the pleadings and factual matrix.

Arguments of the Parties

Appellant / Defendant 1

- Contended that Gopalji's estate was self-acquired and was converted into separate properties by the registered partition deed of 1-3-1988.
- Argued that Ext. P-2 transferred only the two businesses, not the underlying buildings; hence no exchange of immovable *property* occurred and the document required no registration.
- Submitted that possession has been acted upon, attracting the doctrine of part-performance under Section 53-A TPA, thereby protecting his possession.

Respondents 1-4 / Plaintiffs

- Maintained that the subject *property* is ancestral; as coparceners they hold an inherent birth-right and Defendant 2 alone could not alienate it.
- Pointed to recitals in Ext. P-2 showing transfer of the RCC building, an immovable asset exceeding ₹ 100, making registration mandatory under Sections 17 & 49 of the Registration Act and Section 118 TPA.
- Emphasised that Defendant 1 never pleaded part-performance in his written statement, barring him from claiming Section 53-A protection.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
C. Krishna Prasad v. CIT, Bangalore (1975) 1 SCC 160	A coparcener's share on partition remains ancestral vis-à-vis his male issue.	Relied upon to affirm that Defendant 2's share continued as coparcenary <i>property</i> with respect to his sons and grandson.

M. Yogendra v. Leelamma N. (2009) 15 SCC 184	<i>Property</i> in hands of a sole surviving coparcener is separate only until a son is born; thereafter it revives as coparcenary <i>property</i> .	Used to reinforce that birth of plaintiffs vested them with coparcenary rights in Defendant 2's share.
Rohit Chauhan v. Surinder Singh (2013) 9 SCC 419	After birth of a son, the father's previously separate share assumes coparcenary character; alienation thereafter must satisfy legal necessity.	Cited to negate Defendant 2's unilateral power to exchange the <i>property</i> after plaintiffs' births.
Roshan Singh v. Zile Singh AIR 1988 SC 881	Unregistered documents that themselves effect a partition or transfer of immovable <i>property</i> are inadmissible under Sections 17 & 49 of the Registration Act.	Invoked to hold Ext. P-2 inadmissible as evidence of exchange.

Court's Reasoning and Analysis

1. Nature of the *Property* . Drawing on settled Mitakshara principles and the cited precedents, the Court found that *property* inherited from a father remains ancestral for male descendants. Consequently, the share allotted to Defendant 2 in the 1987 partition retained its coparcenary character with respect to his sons (Plaintiffs 1-3) and grandson (Plaintiff 4). Both the trial court and High Court had so held, and the Supreme Court saw “no ground to disagree.”

2. Validity and Admissibility of Ext. P-2. The document is an “exchange” within Section 118 TPA, and one subject-matter is the RCC building—an immovable asset exceeding ₹100 in value. Therefore, under Sections 17 & 49 of the Registration Act and Section 54 TPA (by reference), registration was compulsory. Being unregistered, Ext. P-2:

- Could not validly transfer any right in the immovable *property* , and
- Was inadmissible in evidence; Section 91 of the Evidence Act could not be invoked to prove its contents.

The High Court's exclusion of Ext. P-2 was thus upheld.

3. Section 53-A TPA (Part-Performance). The defence of part-performance requires a specific plea that possession was taken pursuant to the contract. The Court noted that Defendant 1's written statement lacked such averment, and relief cannot be granted absent pleadings. Accordingly, the equitable shield under Section 53-A was unavailable.

Holding and Implications

APPEAL DISMISSED. The Supreme Court affirmed the High Court's decree restoring

the trial court's judgment in favour of the plaintiffs.

Implications: The unregistered deed of exchange is ineffective and inadmissible; plaintiffs' coparcenary rights in the ancestral *property* stand protected. The decision applies established principles without setting a new precedent but reinforces mandatory registration requirements and the necessity of pleadings for Section 53-A defences. No costs were awarded.

JUDGMENT

S. Abdul Nazeer, J.— Defendant 1, Shyam Narayan Prasad is the appellant before us. In this appeal he has questioned the legality and correctness of the judgment and decree dated 15-5-2006 passed by the High Court of Sikkim in Krishna Prasad v. Shyam Narayan Prasad [2006 SCC OnLine Sikk 3](#), AIR 2006 Sikk 25.

2. One Gopalji Prasad is the common male ancestor of the parties. The appellant and Laxmi Prasad, 5th respondent herein, are the sons of Gopalji Prasad. Respondents 1 to 3 are the sons of Laxmi Prasad and Respondent 4 is the son of the first respondent. Respondents 1 to 4 are the plaintiffs in the suit, being Civil Suit No. 10 of 2001, and the appellant and Respondents 5 and 6 are the defendants. No relief has been claimed against Respondent 6 (Defendant 3 in the suit). For the sake of convenience, parties are referred to by the ranking in the trial court.

3. The plaintiffs filed the aforesaid suit against the defendants for a declaration that the document dated 30-1-1990 (Ext. P-2) executed between Defendants 1 and 2 is invalid and for certain other reliefs. According to them, the family *property* was partitioned on 31-7-1987 between Gopalji and his five sons, namely, Laxmi Prasad, Ayodhya Prasad, Shyam Narayan Prasad, Dr Onkarnath Gupta and Suresh Kumar. In the partition, Gopalji has retained some of the properties for his personal use till his death. Laxmi Prasad got his share of *property* along with half portion of existing two-storeyed RCC building situated at Singtam Bazar, East Sikkim, wherein presently a liquor shop is being run. Shyam Narayan Prasad was allotted a shoe shop at Manihari which is run on a rented premises owned by Gouri Shankar Prasad. He was also allotted other properties in the partition.

4. After the partition, the sons of Gopalji were put in possession of their share of the properties. However, Laxmi Prasad (Defendant 2) in collusion with his brother Shyam Narayan Prasad (Defendant 1) executed an agreement dated 30-1-1990 exchanging the liquor shop at Singtam Bazar, East Sikkim with the shoe shop at Manihari. It is their contention that since the *property* is an ancestral *property*, they also have a share in the *property* which had fallen to the share of Defendant 2 and that he has no legal right to exchange the *property* with Defendant 1. It was further contended that the deed of exchange dated 30-1-1990 entered into between Defendants 1 and 2 is in relation to an immovable *property*. Since the said document has not been registered, it has no legal effect.

5. Defendant 1 has filed the written statement stating that the suit properties are not

ancestral properties. He has denied the contention of the plaintiffs that the document dated 30-1-1990 is not a valid document. It was further contended that the said document has already been given effect from the date of its execution.

6. Defendant 2 has filed the written statement contending that for the alleged exchange deed, Defendant 1 had approached him for exchanging only the business of liquor shop at Sikkim with that of shoe shop at Gangtok for convenience and that he had signed the document in good faith believing that the exchange deed was only for the two businesses, and further, admitted that exchange deed was made and executed behind the back of the plaintiffs.

7. On the basis of the pleadings of the parties, the trial court has framed relevant issues. Parties have led evidence in support of their respective contentions. On appreciation of the materials on record, the trial court had come to the conclusion that the *property* in question is an ancestral *property* and that the plaintiffs being the sons and grandson of Defendant 2, they have also equal share in the *property* allotted to him in the partition. The suit was accordingly decreed.

8. The first defendant challenged the said judgment and decree by filing Appeal No. 2 of 2003 before the District Judge, Sub-Division II, Sikkim at Gangtok. The District Judge by the judgment and decree dated 19-11-2004 allowed the appeal, set aside the judgment and decree of the trial court and dismissed the suit. The plaintiffs filed Second Appeal No. 1 of 2005 challenging the judgment and decree of the District Judge before the High Court. The High Court has set aside the judgment and decree of the District Judge and restored the judgment and decree of the trial court.

9. The contention of the learned counsel for appellant-Defendant 1 is that the entire *property* of Gopalji was the self-acquired *property* and he has divided the *property* amongst his five sons by a deed of partition dated 1-3-1988. According to the deed of settlement dated 30-1-1990 between Defendants 1 and 2, only the businesses were transferred and not the buildings. Therefore, the sons and the grandson of Defendant 2 have no right to seek cancellation of the said deed. There is no exchange of immovable *property* as contended by the plaintiffs. Therefore, the settlement deed does not require registration. The parties have acted upon the said agreement. In the circumstances, possession of the appellant is protected under Section 53-A of the Transfer of *Property* Act, 1882 (for short “the TP Act”).

10. On the other hand, the learned advocate appearing for Respondents 1 to 4-plaintiffs submits that the subject-matter of the deed of settlement dated 30-1-1990 is a joint family *property*. The recitals of this document clearly show that there is a transfer of immovable *property*. The plaintiffs, being the lineal descendants of Defendant 2, are the members of the coparcenary. They have a right and interest over the *property* in question. The settlement deed dated 30-1-1990 has not been registered. Hence, it is inadmissible in evidence. Defendant 1 has not pleaded in his written statement that he has taken the possession of the *property* in part-performance of the contract. Therefore, it is not open for him to claim the benefit of **Section 53-A of the TP Act**. The learned counsel prays for

dismissal of the appeal.

11. Having regard to the contentions urged, the first question for consideration is whether the *property* allotted to Defendant 2 in the partition dated 31-7-1987 retained the character of a coparcenary *property*. Admittedly, Gopalji Prasad and his five sons partitioned the *property* by a deed of partition dated 31-7-1987. It is clear from the materials on record that Gopalji Prasad retained certain properties in the partition. Certain properties had fallen to the share of Defendant 2 who is the father of Plaintiffs 1 to 3 and grandfather of Plaintiff 4. Certain properties had fallen to the share of the first defendant. The trial court has held that the properties are ancestral properties. The High Court has confirmed [2006 SCC OnLine Sikk 3](#), AIR 2006 Sikk 25 the finding of the trial court. We do not find any ground to disagree with this finding of the courts below.

12. It is settled that the *property* inherited by a male Hindu from his father, father's father or father's father's father is an ancestral *property*. The essential feature of ancestral *property*, according to Mitakshara Law, is that the sons, grandsons, and great grandsons of the person who inherits it, acquire an interest and the rights attached to such *property* at the moment of their birth. The share which a coparcener obtains on partition of ancestral *property* is ancestral *property* as regards his male issue. After partition, the *property* in the hands of the son will continue to be the ancestral *property* and the natural or adopted son of that son will take interest in it and is entitled to it by survivorship.

13. In C. Krishna Prasad v. CIT [\(1975\) 1 SCC 160](#), this Court was considering a similar question. In the said case, C. Krishna Prasad, the appellant along with his father Krishnaswami Naidu and brother C. Krishna Kumar formed Hindu Undivided Family up to 30-10-1958, when there was a partition between Krishnaswami Naidu and his two sons. A question arose as to whether an unmarried male Hindu on partition of a joint Hindu family can be assessed in the status of undivided family even though no other person besides him is a member of the family. It was held that the share which a coparcener obtains on partition is ancestral *property* as regards male issue. It was held as under:

“8. The share which a coparcener obtains on partition of ancestral *property* is ancestral *property* as regards his male issue. They take an interest in it by birth, whether they are in existence at the time of partition or are born subsequently. Such share, however, is ancestral *property* only as regards his male issue. As regards other relations, it is separate *property*, and if the coparcener dies without leaving male issue, it passes to his heirs by succession (see p. 272 of Mulla's Principles of Hindu Law, 14th Edn.). A person who for the time being is the sole surviving coparcener is entitled to dispose of the coparcenary *property* as if it were his separate *property*. He may sell or mortgage the *property* without legal necessity or he may make a gift of it. If a son is subsequently born to him or adopted by him, the alienation, whether it is by way of sale, mortgage or gift, will nevertheless stand, for a son cannot object to alienations made by his father before he was born or begotten....”

(emphasis in original and supplied)

14. In *M. Yogendra v. Leelamma N.* [\(2009\) 15 SCC 184](#), it was held as under:

“29. It is now well settled in view of several decisions of this Court that the *property* in the hands of a sole coparcener allotted to him in partition shall be his separate *property* for the same shall revive only when a son is born to him. It is one thing to say that the *property* remains a coparcenary *property* but it is another thing to say that it revives. The distinction between the two is absolutely clear and unambiguous. In the case of former any sale or alienation which has been done by the sole survivor coparcener shall be valid whereas in the case of a coparcener any alienation made by the karta would be valid.”

(emphasis supplied)

15. In *Rohit Chauhan v. Surinder Singh* [\(2013\) 9 SCC 419](#), a contention was raised by Defendant 1 that after partition of the joint Hindu family *property*, the land allotted to the share of Defendant 2 became his self-acquired *property* and he was competent to transfer the *property* in the manner he desired. It was held that the *property* which Defendant 2 got by virtue of partition decree amongst his father and brothers was although separate *property* qua other relations but it attained the characteristics of coparcenary *property* the moment a son was born to Defendant 2. It was held thus:

“14. A person, who for the time being is the sole surviving coparcener as in the present case Gulab Singh was, before the birth of the plaintiff, was entitled to dispose of the coparcenary *property* as if it were his separate *property*. Gulab Singh, till the birth of plaintiff Rohit Chauhan, was competent to sell, mortgage and deal with the *property* as his *property* in the manner he liked. Had he done so before the birth of plaintiff, Rohit Chauhan, he was not competent to object to the alienation made by his father before he was born or begotten. But, in the present case, it is an admitted position that the *property* which Defendant 2 got on partition was an ancestral *property* and till the birth of the plaintiff he was the sole surviving coparcener but the moment plaintiff was born, he got a share in the father's *property* and became a coparcener. As observed earlier, in view of the settled legal position, the *property* in the hands of Defendant 2 allotted to him in partition was a separate *property* till the birth of the plaintiff and, therefore, after his birth Defendant 2 could have alienated the *property* only as karta for legal necessity. It is nobody's case that Defendant 2 executed the sale deeds and release deed as karta for any legal necessity. Hence, the sale deeds and the release deed executed by Gulab Singh to the extent of entire coparcenary *property* are illegal, null and void. However, in respect of the *property* which would have fallen in the share of Gulab Singh at the time of execution of sale deeds and release deed, the parties can work out their remedies in appropriate proceeding.”

(emphasis supplied)

16. Therefore, the properties acquired by Defendant 2 in the partition dated 31-7-1987 although are separate properties qua other relations but it is a coparcenary *property* insofar as his sons and grandsons are concerned. In the instant case, there is a clear finding by the trial court that the properties are ancestral properties which have been divided as per the deed of partition dated 31-7-1987. The *property* which had fallen to the share of Defendant 2 retained the character of a coparcenary *property* and the plaintiffs being his sons and grandson have a right in the said *property*. Hence, it cannot be said that the suit filed by the plaintiffs was not maintainable.

17. This takes us to the next question as to whether the exchange deed at Ext. P-2 is admissible in evidence or not. The transfer of ownership of their respective properties by Defendants 1 and 2 was done through Ext. P-2, deed of exchange. It was contended by Defendant 1 that the exchange was only of the businesses. However, a careful perusal of Ext. P-2 clearly shows that the RCC building is also a subject-matter of the deed of exchange. The value of RCC building exceeds Rs 100 which is not in dispute. **Section 118 of the TP Act** defines “exchange” as under:

“118. “Exchange” defined.—When two persons mutually transfer the ownership of one thing for the ownership of another, neither thing or both things being money only, the transaction is called an “exchange”.

A transfer of *property* in completion of an exchange can be made only in manner provided for the transfer of such *property* by sale.”

18. It is clear from this provision that where either of the properties in exchange are immovable or one of them is immovable and the value of anyone is Rs 100 or more, the provision of **Section 54 of the TP Act** relating to sale of immovable *property* would apply. The mode of transfer in case of exchange is the same as in the case of sale. It is thus clear that in the case of exchange of *property* of value of Rs 100 and above, it can be made only by a registered instrument. In the instant case, the exchange deed at Ext. P-2 has not been registered.

19. **Section 49 of the Registration Act, 1908** provides for the effect of non-registration of the document, which is as under:

“49. Effect of non-registration of documents required to be registered.—No document required by Section 17 or by any provision of the Transfer of *Property* Act, 1882 (4 of 1882), to be registered shall—

(a) affect any immovable *property* comprised therein, or

(b) confer any power to adopt, or

(c) be received as evidence of any transaction affecting such *property* or conferring such

power,

unless it has been registered.”

20. **Section 17(1)(b) of the Registration Act** mandates that any document which has the effect of creating and taking away the rights in respect of an immovable *property* must be registered and Section 49 of the Registration Act imposes bar on the admissibility of an unregistered document and deals with the documents that are required to be registered under Section 17 of the Registration Act. Since, the deed of exchange has the effect of creating and taking away the rights in respect of an immovable *property*, namely, RCC building, it requires registration under Section 17. Since the deed of exchange has not been registered, it cannot be taken into account to the extent of the transfer of an immovable *property*.

21. In *Roshan Singh v. Zile Singh* AIR 1988 SC 881, [\(1988\) 2 SCR 1106](#), this Court was considering the admissibility of an unregistered partition deed. It was held thus: (AIR p. 885, para 9)

“9. ... Section 17(1)(b) lays down that a document for which registration is compulsory should, by its own force, operate or purport to operate to create or declare some right in immovable *property*. ... Two propositions must therefore flow:

(1) A partition may be affected orally; but if it is subsequently reduced into a form of a document and that document purports by itself to effect a division and embodies all the terms of bargain, it will be necessary to register it. If it be not registered, Section 49 of the Act will prevent its being admitted in evidence. Secondary evidence of the factum of partition will not be admissible by reason of **Section 91 of the Evidence Act, 1872.**”

(emphasis supplied)

22. It is clear from the above judgment that the best evidence of the contents of the document is the document itself and as required under **Section 91 of the Evidence Act** the document itself has to be produced to prove its contents. But having regard to Section 49 of the Registration Act, any document which is not registered as required under law, would be inadmissible in evidence and cannot, therefore, be produced and proved under **Section 91 of the Evidence Act**. Since Ext. P-2 is an unregistered document, it is inadmissible in evidence and as such it can neither be proved under **Section 91 of the Evidence Act** nor any oral evidence can be given to prove its contents. Therefore, the High Court has rightly discarded the exchange deed at Ext. P-2.

23. The last contention of the learned counsel for the appellant is in relation to application of **Section 53-A of the TP Act**. It is well settled that the defendant who intends to avail the benefit of this provision must plead that he has taken possession of the *property* in part-performance of the contract. Perusal of the written statement of the first defendant shows that he has not raised such a plea. Pleadings are meant to give to each side, intimation of

the case of the other, so that, it may be met to enable courts to determine what is really at issue between the parties. No relief can be granted to a party without the pleadings. Therefore, it is not open for the first defendant-appellant to claim the benefit available under **Section 53-A of the TP Act**.

24. In the result, this appeal fails and it is accordingly dismissed. There will be no order as to costs.